

Project Acme: Financial Due Diligence - Quality of Earnings

This report presents the Quality of Earnings (QofE) analysis for Acme Cloud Solutions for the LTM period ending Dec 2024.

1. Revenue Recognition Audit

We analyzed the deferred revenue schedules and contract start dates. Revenue is recognized ratably over the subscription term, typically 12-36 months.

Component	Reported (\$M)	Adjustment (\$M)	Adjusted (\$M)
Total Revenue	42.0	(0.8)	41.2
Cost of Sales	(6.3)	0.2	(6.1)
Operating Exp	(29.8)	1.2	(28.6)
EBITDA	5.9	0.6	6.5

Key adjustment includes non-recurring software implementation costs capitalized versus expensed and normalization of executive compensation.